

INDIAN ECONOMY

**LEVEL
II**



TERMINOLOGY

- 37. INPUT TAX CREDIT
- 38. INVERTED DUTY STRUCTURE
- 39. SPECIAL PURPOSE VEHICLE
- 40. LEGACY ISSUES

- 41. BASE EFFECT
- 42. DEBT FINANCING
- 43. MONEY FINANCE / MONETIZING THE FISCAL DEFICIT
- 44. MONETISATION

MODULE - 4

- 45. CROSS-SUBSIDIZATION
- 46. LIGHT TOUCH REGULATION
- 47. FRUGAL INNOVATION
- 48. COST OF CAPITAL



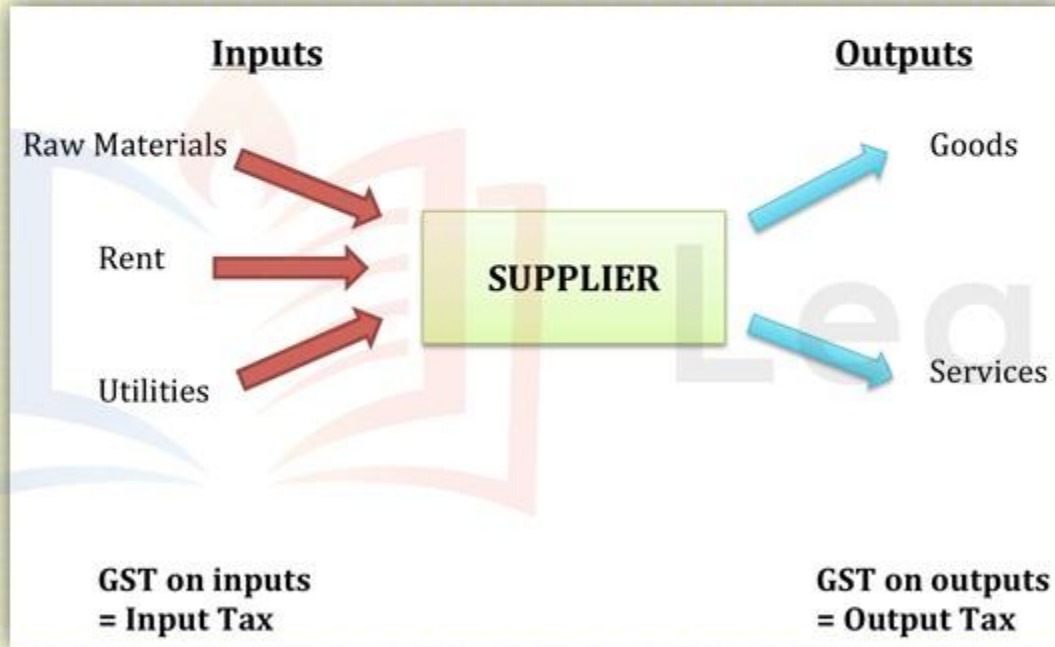
MODULE - 4

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INPUT TAX CREDIT

Input Tax Credit means at the time of paying tax on output, we can reduce the tax, we have already paid on inputs.



INPUT TAX CREDIT

Steel Rods



Cost...Rs. 100/-
GST...Rs. 12/-

Iron Grill



Cost...Rs. 200/-
GST...Rs. 36/-

SIMPLE EXAMPLE!

**Cost of grill without
Input Tax Credit =**
Rs. 200 + 36
= Rs. 236

**Cost of grill with Input
Tax Credit = Rs. 200 +**
36 - 12
= Rs. 224

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INVERTED DUTY STRUCTURE

- The name given to the duty, where import duty on finished goods is low compared to the import duty on raw materials, that are used in the production of such finished goods.
- An Inverted Duty Structure discourages domestic Value Addition.
- Inverted Rate Structure is also a case, where GST rates on input materials are more than outward finished products.



TYRES



RUBBER

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SPECIAL PURPOSE VEHICLE

- A Special Purpose Vehicle (SPV) is a legal entity created for a limited business acquisition or transaction.
- It is to fulfill narrow, specific or temporary objectives.
- SPVs are typically used by companies to isolate the firm from financial risks also.



SPVs are expected to expedite the execution process of projects. These are winded up, once their purpose is served.

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LEGACY ISSUES

- These are the issues that remain from an earlier time.
- Quite often, Governments blame the previous Governments for Legacy issues.



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BASE EFFECT

The Base Effect refers to the impact of the rise in price level (i.e. last year's inflation) in the previous year over the corresponding rise in price levels in the current year (i.e., current inflation)



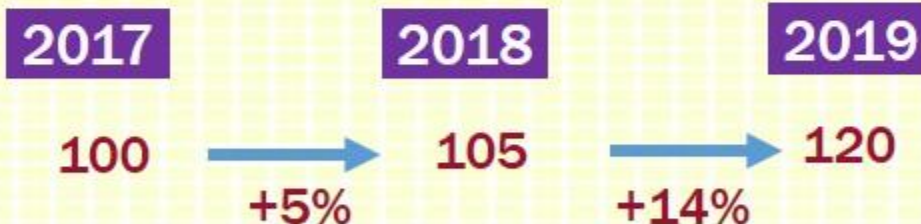
SCENARIO - 1

PRICE INDEX



SCENARIO - 2

PRICE INDEX



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DEBT FINANCING

- This is the normal process of Government selling the bonds, either domestically or internationally to plug the gap between revenue and expenditure.
- This happens, when the Government is not able to/unwilling to raise the tax revenues to balance the budgets.

UNION BUDGET 2019-20

TOTAL EXPENDITURE

Rs. 27,86,349 Cr

FISCAL DEFICIT

Rs. 7,03,760 Cr
(3.3% of GDP)



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MONEY FINANCE / MONETIZING THE FISCAL DEFICIT

- This is reducing the public debt by printing currency.
- It puts more money in circulation.
- It leads to inflationary tendencies.
- India does not resort to Money Finance.

UNION BUDGET 2019-20

TOTAL EXPENDITURE

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MONETISATION

Conversion of an asset into money, which means, converting it to the generally accepted medium of exchange.



VACANT LAND



CONVERTED
TO MONEY

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CROSS-SUBSIDIZATION

It is subsidizing one section of the consumers, which increases the cost for other section of consumers.

CASE - 1



CASE - 2



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LIGHT TOUCH REGULATION

It is a situation in which something is not controlled very strictly.



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FRUGAL INNOVATION

- It discovers new business models to serve users, who face extreme affordability constraints, in a scalable and sustainable manner.
- It provides functional solutions through few resources for the many, who have little means.
- It is the practice generally in vogue in emerging markets.
- It purposefully targets the bottom and then makes its way up to other levels to benefit all users.

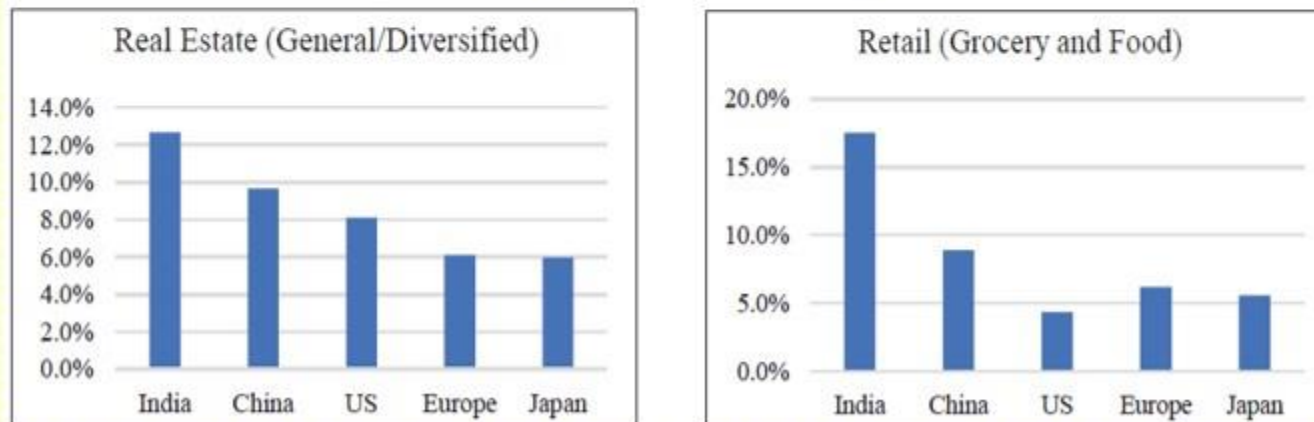


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COST OF CAPITAL

- It means the weighted average of a firm's cost of debt and cost of equity blended together.
- It is used by companies internally to judge whether a capital project is worth the expenditure of resources.
- It represents the return a company needs in order to take on a capital project,

Figure 23: Cross-country comparison of Cost of Capital across some sectors



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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588